

March 28, 1988

GRiD ACQUISITION

The GRiD acquisition offers Tandy the opportunity to profitably expand its microcomputer business in the large corporate and governmental sectors.

In these markets where deeply discounted prices are increasingly the only differentiation in moving product, GRiD has established its niche in designing and implementing field automation systems. These systems -- usually for field sales, auditing and engineering organizations -- are complete customized solution systems that incorporate both portable and desktop hardware as well as software. These are added value sales and, as such, GRiD's products command a premium price in the marketplace. Heretofore, GRiD's requirements for desktop computers have been contracted to other vendors. To capture these sales, Tandy will manufacture derivative versions of its present and future high-end desktop models that will bear the GRiD name. It is uncertain how extensive the pull-through effect will be on Tandy's upper model sales. We believe it could be significant.

At present, the GRiD acquisition is more significant conceptually than it is in size. It exemplifies one of Tandy's key strategic objectives -- to expand its computer business through alternative channels of distribution.

The effective date is June 30, 1988. The acquisition has been creatively structured in a manner which provides a tax free exchange of stock for GRiD shareholders and an antidilutive effect on Tandy's earnings.

The GRiD acquisition is consistent with Tandy's strategic plans of increasing volume per location, developing alternative channels of distribution for personal computer and cellular products, and leveraging off our other manufacturing strengths. Tandy continues its quest of being America's premier electronics company for broad-based markets.

Attached is a fact sheet which should answer most of your questions concerning GRiD and the acquisition.

Fact Sheet

Tandy/GRiD Announcement

BENEFITS TO TANDY CORPORATION

- o Enhances Tandy's U.S. product development and manufacturing capability for laptop computers.
- o Gives Tandy U.S. manufacturing capability for laptop computers.
- o Provides new marketing opportunities in government and corporate markets for Tandy-manufactured desktop computers.
- o Positive bottom-line impact the first year. GRiD's expected revenue for calendar year ending 12/30/88 is \$100+ million.
- o GRiD has excellent engineering and management teams. GRiD has high-quality personnel, product (including the industry's first battery-operated 80386-based laptop computer) and reputation in the market.

BENEFITS TO GRiD SYSTEMS CORPORATION

- o Provides benefits of Tandy materials sourcing and purchasing power.
- o Added stability being a subsidiary of a \$3.7-billion (12 months ending 12/87) corporation.
- o Makes available a high-quality desktop computer line.
- o Gives GRiD the benefit of Tandy's nationwide service and support capability.

GRiD Systems Corporation

Chief Executive Officer: Samuel J. Wiegand

Location: Fremont, California

Founded: 1979

GENERAL INFORMATION

- o The transaction is for Tandy Corporation common stock. Value will be approximately \$55 million and could reach \$90 million, depending on performance.
- o GRiD will continue basic operations as they exist now. There will be no name change in company or product. There will be no change in servicing of the current customer base.
- o There are no current plans to sell GRiD computers in Tandy retail channels.
- o GRiD describes their business as "Field Automation Systems," meaning turnkey - often highly customized - systems including portables, desktop hardware and required software. Typical uses include field sales, auditing and engineering systems.
- o GRiD's field sales and support staff is approximately 145 people. Total employment is about 400 people.
- o GRiD's current primary market is large corporations (Fortune 500). The remainder of their sales are to government agencies. International sales are also growing.

Fact Sheet

GRiD Product Line

GRiD's current product line consist of high-quality, magnesium-cased portable computers, including ...

MODEL

DESCRIPTION

- 1530** 12.5 MHz 80386, 1Mb RAM, two 3.5-inch floppy drives, backlit 640 x 200 liquid crystal display.
Options: 10, 20 or 40Mb hard drive, 640 x (400 or 200) gas plasma display, 2400-baud internal modem, NiCad battery, VGA and network interfaces, "pocket" (removable) 3.5-inch floppy drive.
- 1520** 10 MHz 80286, 1Mb RAM, two 3.5-inch floppy drives, backlit 640 x 200 liquid crystal display.
Options: 10, 20 or 40Mb hard drive, 640 x (400 or 200) gas plasma display, 2400-baud internal modem, NiCad battery, VGA and network interfaces, "pocket" (removable) 3.5-inch floppy drive.
- 1255 GRiDCase EXP**
4.77 MHz 80C86, 640Kb RAM, 3.5-inch floppy drive, backlit 640 x 200 liquid crystal display.
Options: 20Mb hard drive, gas plasma display, 2400-baud internal modem, NiCad battery pack, external 3.5-inch or 5.25-inch floppy drive.
- GRiDLite Plus 8** or 4.77 MHz 80C86, 640Kb RAM, 3.5-inch floppy drive , backlit 640 x 200 liquid crystal display.
Options: 10 Mb hard drive, 2400-baud internal modem, NiCad battery pack, "pocket" (removable) 3.5-inch floppy drive.

Fact Sheet

Tandy/GRiD Announcement

QUESTIONS

Will GRiD have access to Tandy-manufactured desktop computers?

Yes. GRiD will have access to Tandy-manufactured desktops under their own name, Tandy's name or a dual-brand name, at their option.

Will GRiD sell the Tandy 1400 LT portable computer?

This has not yet been determined. It is unlikely until supply is adequate to handle Tandy's own needs.

Will Tandy outbound sales representatives be able to sell GRiD products?

This has not yet been determined. There are no current plans to do so.

What is the anticipated impact on Tandy (TAN) stock and earnings?

This gives Tandy a very positive alternative marketing channel. Most analysts will probably view it as positive, but Tandy will not speculate on stock prices, earnings impact, etc.

Are there any specific plans for GRiD expansion in the immediate future?

It is too early to comment.

Who is the press contact at GRiD Systems Corporation?

Samuel J. Wiegand or Alan Letkof
Phone: (415) 656-4700

When is the completion date of the acquisition?

June 30, 1988.

How long have negotiations been underway?

Negotiations have been underway since approximately the first of the year.